

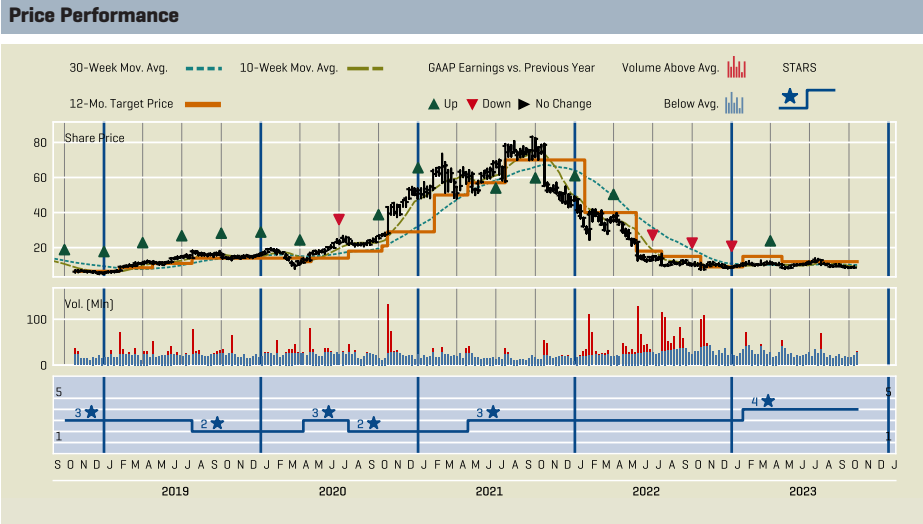
Recommendation **BUY** ★★★★★

Price **USD 9.44** [as of market close Oct 20, 2023] **12-Mo. Target Price** **USD 12.00** **Report Currency** **USD** **Investment Style** **Mid-Cap Blend**

Equity Analyst **Angelo Zino, CFA**

GICS Sector Communication Services **Sub-Industry** Interactive Media and Services **Summary** SNAP calls itself a camera company, but it is more aptly described as a mobile-focused social media advertising firm.

Key Stock Statistics (Source: CFRA, S&P Global Market Intelligence (SPGMI), Company Reports)									
52-Wk Range	USD 13.89 - 7.33	Oper.EPS2023E	USD -0.04	Market Capitalization[B]	USD 15.32	Beta		1.29	
Trailing 12-Month EPS	USD 0.21	Oper.EPS2024E	USD 0.13	Yield [%]	N/A	3-yr Proj. EPS CAGR[%]		88	
Trailing 12-Month P/E	44.95	P/E on Oper.EPS2023E	NM	Dividend Rate/Share	N/A	SPGMI's Quality Ranking		NR	
USD 10K Invested 5 Yrs Ago	13,862.0	Common Shares Outstg.[M]	1,616.00	Trailing 12-Month Dividend	N/A	Institutional Ownership [%]		44.0	



Source: CFRA, S&P Global Market Intelligence
Past performance is not an indication of future performance and should not be relied upon as such.
Analysis prepared by **Angelo Zino, CFA** on Jul 26, 2023 09:34 AM ET, when the stock traded at **USD 12.51**.

- Highlights**
- ▶ We see sales rebounding 11% in 2024 after our projection for a 2.5% drop in 2023 (+12% in 2022). We are more concerned about business prospects as well as rising competitive pressures (e.g., TikTok), which hurt advertiser budgets and create lower bids. Q2 Daily Average Users (DAUs) grew 14% [NA +2%, Europe +9%, rest of world +25%] while average revenue per user fell 16%. Monetization will be key as investments are geared towards its generative AI camera filters (lenses), interaction with ads, and enhancing content recommendations.
 - ▶ Although we are encouraged by prior cost reduction efforts, reducing headcount 20% from the peak, elevated investments are likely to drive operating losses in the intermediate term. The adjusted EBITDA guide for Q3 implies a \$50M-\$100M loss, as infrastructure costs to invest in generative AI are rising much more rapidly than we originally anticipated [\$0.79-\$0.84/DAU; up 35%-40% in six months].
 - ▶ We note SNAP's roughly net cash neutral position, with about \$3.7B in cash and no debt maturities before 2025. We view SNAP's user base [over 75% under 35 years old] as highly attractive and like efforts in AR while secular growth in the digital ad market remains intact.

- Investment Rationale/Risk**
- ▶ Our Buy rating on this highly speculative name reflects our valuation, outlook for improving fundamentals, and expectation for a growing installed base. We remain optimistic about engagement and see monthly active users (MAUs) growing in the next two to three years [to 1B from 750M]. Although monetization has been an issue, we like AI-related growth initiatives to improve platform content, AR, and subscription revenue. We positively view momentum in SpotLight (MAUs +51% to over 400M in Q3 with total time spent more than tripling) and a +20% increase in active advertisers. While we don't expect a TikTok ban in the U.S., if it were to occur, it would act as a catalyst. Investors will need to be patient given elevated spend amid a tough ad landscape.
 - ▶ Risks to our recommendation and 12-month target price are potential lingering effects of Apple's iOS ad tracking changes, a significant reduction in customer engagement, and higher-than-expected costs that could push out SNAP's ability to widen margins and generate significant free cash flow.
 - ▶ Our \$12 target is based on a P/S of 3.8x our 2024 estimate, below peers. Shares have plunged more than peers in the last two years to reflect monetization issues.

Analyst's Risk Assessment

LOW	MEDIUM	HIGH
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SNAP is capitalizing on several key trends, such as the ongoing shift to online/digital advertising. It holds considerable upside potential in areas like Augmented Reality [AR]. However, we also see substantial risks, including very powerful competitors like Facebook/Instagram/WhatsApp as well as Google/YouTube and TikTok. Another risk is the possibility of a rapid loss of interest in the social network a la MySpace.

Revenue/Earnings Data

Revenue (Million USD)					
	1Q	2Q	3Q	4Q	Year
2024	E 1,062	E 1,163	E 1,246	E 1,497	E 4,967
2023	989	1,068	E 1,100	E 1,329	E 4,486
2022	1,063	1,111	1,128	1,300	4,602
2021	770	981	1,067	1,298	4,117
2020	462	454	679	911	2,507
2019	320	388	446	561	1,716

Earnings Per Share (USD)

	1Q	2Q	3Q	4Q	Year
2024	E -0.01	E -0.01	E 0.02	E 0.13	E 0.13
2023	0.01	-0.02	E -0.06	E 0.03	E -0.04
2022	-0.02	-0.02	0.08	0.14	0.17
2021	--	0.10	0.17	0.22	0.50
2020	-0.08	-0.09	0.01	0.09	-0.06
2019	-0.10	-0.06	-0.04	0.03	-0.16

Fiscal Year ended Dec 31. EPS Estimates based on CFRA's Operating Earnings; historical earnings are adjusted. In periods where a different currency has been reported, this has been adjusted to match the current quoted currency.

Dividend Data

No cash dividends have been paid in the last year.

Snap Inc.

Business Summary Jul 26, 2023

CORPORATE OVERVIEW. Like how the “flashing cursor” became the starting point on computers, Snap Inc. thinks the camera screen will be the starting point for products on smartphones, because images created by smartphone cameras contain more context and richer information than many other inputs, like text entered on a keyboard. The company’s flagship product, Snapchat, is a mobile application created to help people communicate through short videos and images. Each of those short videos or images is called a Snap.

Snapchat opens directly into the camera, making it easy to create a Snap and send it to friends. Snaps are deleted by default, so there is less pressure to look pretty or perfect when creating and sending images on Snapchat. Snap offers creative tools like Lenses, Geofilters, and Bitmojis that allow users to express themselves through Snaps. Lenses are interactive animations that are overlaid on a person’s face or the world around them. Geofilters are artistic filters that can be applied after a Snap is taken at pre-defined times and locations. Bitmojis are cartoon likenesses of a user that are created in the Bitmoji application. The first version of Snapchat was a chat service that made it easy to communicate with Snaps – thus, the name “Snapchat.” The chat service has been reimagined to include text-based chat, video and voice calling, stickers, Bitmojis, and group chat. Stories are collections of Snaps that play in chronological order and are deleted within 24 hours. Different types of Stories are told from different perspectives. My Story was started for each individual user, expanded to community Live Stories, and then Publisher Stories from experienced publisher partners. Memories give each user the option of saving their Snaps in a personal collection. Users can send Snaps from Memories to friends and create new Stories from saved Snaps. SNAP also developed search and privacy tools to help users find the Snaps they are looking for and store them securely.

Advertising through the company’s AR tools unlocks the ability to reach an audience in a way. Ads could be served as Sponsored Lenses or Sponsored Filters. Lenses are designed through the company’s camera to focus on the reach and scale of its augmented reality platform to create visually engaging 3D experiences, including the ability to sample and try on products, such as beauty, apparel, accessories, and footwear. These Lenses and Filters could be memorialized on Snapchat, through Public Profiles that aggregate content, filters, and lenses in a place.

The company has historically seen seasonality in its business. Overall advertising spend tends to be strongest in the fourth quarter of the calendar year, and it has observed a similar pattern in its historical revenue. The company has also experienced seasonality in its user engagement, generally seeing lower engagement during summer months and higher engagement in December.

The company faces significant competition in various aspects of its business both domestically and internationally. This ranges from smaller or newer companies to larger, more established companies, such as Apple, ByteDance (including TikTok), Facebook (including Instagram and WhatsApp), Google (including YouTube), Kakao, LINE, Naver (including Snow), Tencent, and Twitter.

CORPORATE STRATEGY. SNAP’s strategy is to invest in product innovation and take risks to improve its offerings. SNAP does this to drive user engagement, which it can monetize through advertising. SNAP uses its revenues to fund future product innovation to grow the business.

SNAP thinks the best way to compete in a world of widely distributed mobile applications is by innovating to create the most engaging products. New mobile software is available to everyone immediately, and usually for free. While not all of SNAP’s investments will pay off, it is willing to take risks in an attempt to create the best and most differentiated products.

Due to the nature of SNAP’s products and business, its ability to succeed in any given country is largely dependent on mobile infrastructure and the advertising market. These factors influence SNAP’s product performance, hosting costs, and monetization opportunity in each market.

SNAP’s offerings often require intensive processing and generate high bandwidth consumption by its users. As a result, SNAP’s users tend to come from developed countries with high-end mobile devices and high-speed cellular internet. These markets also tend to have cheaper bandwidth costs, meaning that it is less expensive to serve its community in these countries.

Substantially all of SNAP’s revenue comes from advertising, so its ability to generate revenue in a particular country depends on the size of the advertising market. Global advertising spend – especially mobile advertising spend – is extremely concentrated, with more than 70% of overall advertising spend and nearly 85% of mobile advertising spend coming from the top 10 advertising markets, according to International Data Corp., or IDC. On average, more than 60% of DAUs come from the top 10 advertising markets.

CORPORATE GOVERNANCE. SNAP has three classes of common stock: Class A common stock, Class B common stock, and Class C common stock. The shares sold in the IPO as are Class A shares and have no voting rights. Through Class C stock, SNAP’s founders CEO Evan Spiegel and CTO Bobby Murphy, who is a director of the company, together control some 94.6% of the voting power of the company.

FINANCIAL TRENDS. Despite the challenging operating environment in 2022, SNAP ended the year with 375 million daily active users (DAU), an increase of 17% year-over-year. For the full year, SNAP generated \$4.6 billion of revenue, up 12%, reflecting a rapid deceleration in digital advertising growth. SNAP continued its path to sustainable profitability by generating \$378 million of adjusted EBITDA in 2022, achieving its third consecutive year of positive adjusted EBITDA. The company also generated \$55 million of free cash flow in 2022, achieving its second consecutive year of positive free cash flow. Given elevated spending on AI, both metrics are likely to turn negative in 2023.

Corporate information

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Fax N/A	
Website www.snap.com	
Officers	
Chief Financial Officer D. Andersen	Co-Founder, CEO & Director E. T. Spiegel
General Counsel & Secretary M. O’Sullivan	Independent Chairman of the Board M. M. Lynton
Co-Founder, CTO & Director R. Murphy	Chief Accounting Officer & Controller R. Morrow
Chief Operating Officer J. J. Hunter	
Board Members	
E. T. Spiegel	M. M. Lynton
F. A. Vargas	P. Spence
J. Coles	P. Thorpe
K. Coffey	R. Murphy
L. Jenkins	S. D. Miller
Domicile Delaware	
Auditor Ernst & Young LLP	
Founded 2010	
Employees 5,288	
Stockholders N/A	

Snap Inc.

Quantitative Evaluations						Expanded Ratio Analysis					
Fair Value Rank		1	2	3	4	5	2022	2021	2020	2019	
		LOWEST				HIGHEST	Price/Sales	3.13	17.81	29.08	13.09
		Based on CFRA's proprietary quantitative model, stocks are ranked from most overvalued [1] to most undervalued [5].									
Fair Value Calculation		USD 5.41	Analysis of the stock's current worth, based on CFRA's proprietary quantitative model suggests that SNAP is overvalued by USD 4.03 or 42.69%								
Volatility		LOW		AVERAGE		HIGH					
Technical Evaluation		NEUTRAL	Since September, 2023, the technical indicators for SNAP have been NEUTRAL"								
Insider Activity		UNFAVORABLE		NEUTRAL		FAVORABLE	Avg. Diluted Shares Outstg. [M]				
							1,608.30	1,559.00	1,455.69	1,375.46	
							Figures based on fiscal year-end price				
Key Growth Rates and Averages											
Past Growth Rate [%]							1 Year	3 Years	5 Years		
Net Income							192.99	11.42		NM	
Sales							11.78	38.95		41.03	
Ratio Analysis [Annual Avg.]											
Net Margin [%]								NM	NM	NM	
% LT Debt to Capitalization							55.40	43.05		30.93	
Return on Equity [%]							-44.88	-34.00		-38.92	

Company Financials Fiscal year ending Dec 31									
Per Share Data [USD]		2022	2021	2020	2019	2018	2017	2016	2015
Tangible Book Value		0.46	1.19	0.85	0.99	1.18	1.79	1.34	0.78
Free Cash Flow		0.03	0.14	-0.15	-0.25	-0.62	-0.70	-0.84	-0.46
Earnings		-0.89	-0.31	-0.65	-0.75	-0.97	-2.95	-0.64	-0.51
Earnings (Normalized)		0.17	0.50	-0.06	-0.16	-0.47	-0.61	N/A	N/A
Dividends		N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Payout Ratio [%]		NM	NM	NM	NM	NM	NM	NM	NM
Prices: High		48.45	83.34	54.71	18.36	21.22	29.44	N/A	N/A
Prices: Low		7.33	42.96	7.89	5.35	4.82	11.28	N/A	N/A
P/E Ratio: High		NM	NM	NM	NM	NM	NM	NM	NM
P/E Ratio: Low		43.10	85.90	NM	NM	NM	NM	NM	NM
Income Statement Analysis [Million USD]									
Revenue		4,602	4,117	2,507	1,716	1,180	825.00	404.00	59.00
Operating Income		-1,206	-702.00	-862.00	-1,103	-1,237	-3,446	-520.00	-365.00
Depreciation + Amortization		202.00	119.00	87.00	87.00	92.00	61.00	29.00	15.00
Interest Expense		21.00	18.00	97.00	25.00	4.00	3.00	1.00	N/A
Pretax Income		-1,401	-474.00	-926.00	-1,033	-1,253	-3,463	-522.00	-380.00
Effective Tax Rate		-2.10	-2.90	-2.00	0.00	-0.20	0.50	1.40	2.00
Net Income		NM	NM	NM	NM	NM	NM	NM	NM
Net Income [Normalized]		NM	NM	NM	NM	NM	NM	NM	NM
Balance Sheet and Other Financial Data [Million USD]									
Cash		3,939	3,693	2,538	2,113	1,279	2,043	987.00	641.00
Current Assets		5,257	4,854	3,338	2,644	1,676	2,367	1,180	693.00
Total Assets		8,030	7,536	5,024	4,012	2,714	3,422	1,723	938.90
Current Liabilities		1,216	852.00	667.00	500.00	293.00	346.00	157.00	156.00
Long Term Debt		3,743	2,253	1,675	892.00	N/A	N/A	N/A	N/A
Total Capital		6,756	6,421	4,334	3,497	2,311	2,992	1,534	778.00
Capital Expenditures		129.00	70.00	58.00	36.00	120.00	85.00	66.00	19.00
Cash from Operations		185.00	293.00	-168.00	-305.00	-690.00	-735.00	-611.00	-307.00
Current Ratio		4.32	5.70	5.00	5.29	5.73	6.84	7.53	4.43
% Long Term Debt of Capitalization		55.40	35.10	38.70	25.50	N/A	N/A	N/A	N/A
% Net Income of Revenue		-31.10	-11.90	-37.70	-60.30	NM	NM	NM	NM
% Return on Assets		-9.69	-6.99	-11.93	-20.50	-25.21	-83.73	-24.44	NM
% Return on Equity		-44.90	-15.90	-41.20	-45.20	-47.40	NM	-45.10	NM

Source: S&P Global Market Intelligence. Data may be preliminary or restated; before results of discontinued operations/special items. Per share data adjusted for stock dividends; EPS diluted. E-Estimated. NA-Not Available. NM-Not Meaningful. NR-Not Ranked. UR-Under Review.

Snap Inc.

Sub-Industry Outlook

We have a positive fundamental outlook for the Interactive Media & Services sub-industry over the next 12 months, reflecting margin expansion potential and earnings leverage from the previously announced employee headcount reductions [e.g., Meta Platforms [META] -24% of its workforce; Alphabet [GOOGL] -6%] for the remainder of 2023 and 2024. In addition, we like easier comparisons that we see ahead, greater revenue opportunities from the emergence of generative artificial intelligence [AI], and ongoing share shift to the digital ad market.

According to Magna Global, total global digital ad spending is forecasted to reach \$577 billion in 2023 [69% of total media ad spend], growing 8.5%; we anticipate a similar growth pace of 8%-9% in 2024. This compares to the 9% increase in 2022. Long term, we note the ongoing shift of total global advertising spend from traditional broadcast TV/radio and print media to Internet/digital media. This shift is driven by the increasing time consumers spend on Internet/digital vs. traditional media and by the superior return on investment [ROI] of Internet/digital for the advertisers due to more precise targeting, richer feedback, and a more efficient ad buying process that is mostly auction-based and increasingly programmatic. We expect the increasing application of machine/deep learning techniques to generate even higher ROI.

We expect revenue growth to accelerate for social media participants GOOGL, META, Snapchat [SNAP], and Pinterest [PINS] after showing growth rates temper down since the end of the pandemic. While customer budgets remain relatively resilient and advertisers have increasingly focused on larger platform providers amid a tougher macro backdrop, we see greater competitive pressures from new ad-based driven platforms [e.g., Netflix]. This comes at a time when the digital ad pie is growing much slower, which will have negative implications for the long-term outlook for existing players. Despite this, new AI capabilities should improve targeting capabilities and engagement levels amid a still-growing digital ad market.

GOOGL and META capture a majority of digital ad revenue, while Amazon [AMZN] is poised to take considerable share, creating a triopoly. Together, GOOGL and META dominate digital/online advertising, holding more than 60% of the global online/digital advertising market with what might be called monopolistic power in their respective search and social media businesses, at least outside of China. Within the \$250 billion-plus U.S. ad market, this triopoly controls nearly two-thirds of the market, with AMZN being the clear share-taker.

We also underscore the tremendous profitability and substantial operating leverage inherent to the businesses in this sub-industry. We note the large adjacent markets into which GOOGL/META are expanding [e.g., GOOGL's enterprise cloud services and META's VR/AR apps] or planning to expand [e.g., autonomous vehicles, drone delivery, payments]. The opportunity we see in this sub-industry is partially offset by the persistent threat of greater regulation regarding alleged antitrust violations and data privacy, with the greatest threat coming from Europe [Digital Markets Act and Digital Services Act].

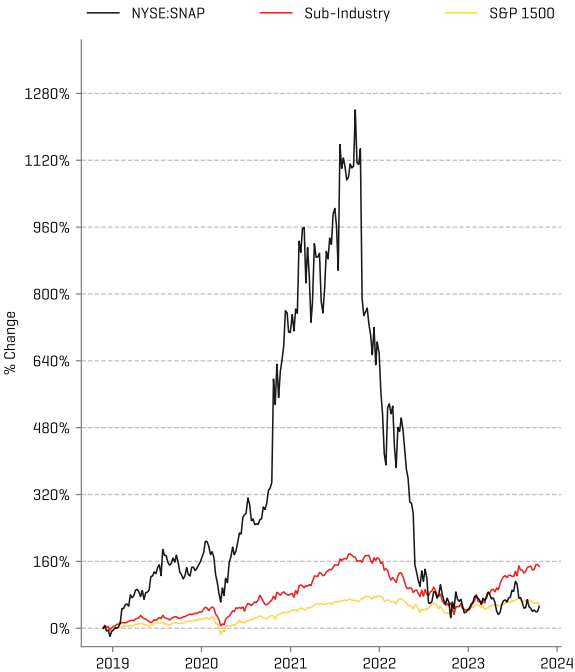
YTD through September 22, the S&P 1500 Interactive Media & Services sub-industry index rose 67.8% vs. an 11.6% rise for the S&P 1500. For the year 2022, the S&P 1500 Interactive Media & Services sub-industry index fell 46.3% vs. a 19.1% decline for the broader S&P 1500.

/ Angelo Zino, CFA

Industry Performance

GICS Sector: Communication Services
Sub-Industry: Interactive Media and Services

Based on S&P 1500 Indexes
Five-Year market price performance through Oct 21, 2023



NOTE: A sector chart appears when the sub-industry does not have sufficient historical index data.
All Sector & Sub-Industry information is based on the Global Industry Classification Standard [GICS].
Past performance is not an indication of future performance and should not be relied upon as such.
Source: CFRA, S&P Global Market Intelligence

Sub-Industry: Interactive Media and Services Peer Group*: Interactive Media and Services

Peer Group	Stock Symbol	Exchange	Currency	Recent Stock Price	Stk. Mkt. Cap. [M]	30-Day Price Chg. [%]	1-Year Price Chg. [%]	P/E Ratio	Fair Value Calc.	Yield [%]	Return on Equity [%]	LTD to Cap [%]
Snap Inc.	SNAP	NYSE	USD	9.65	15,660.0	7.2	-11.1	46.0	5.41	N/A	-45.5	56.2
Autohome Inc.	ATHM	NYSE	USD	27.10	3,338.0	-8.7	-0.3	12.0	N/A	2.1	8.1	N/A
IAC Inc.	IAC	NasdaqGS	USD	45.52	3,908.0	-15.0	-5.9	16.0	N/A	N/A	3.6	22.7
JOYY Inc.	YY	NasdaqGS	USD	39.53	2,451.0	-0.2	61.1	10.0	N/A	4.4	5.3	N/A
Kanzhun Limited	BZ	NasdaqGS	USD	15.30	6,553.0	-0.8	5.7	137.0	N/A	N/A	3.1	N/A
Match Group, Inc.	MTCH	NasdaqGS	USD	36.20	10,067.0	-14.7	-19.1	22.0	49.61	N/A	-149.9	102.0
Pinterest, Inc.	PINS	NYSE	USD	26.55	17,789.0	1.3	15.2	38.0	N/A	N/A	-10.0	N/A
Tripadvisor, Inc.	TRIP	NasdaqGS	USD	15.51	2,140.0	-4.7	-34.3	19.0	N/A	N/A	-3.3	49.2
Yelp Inc.	YELP	NYSE	USD	43.05	2,958.0	0.2	16.6	73.0	N/A	N/A	6.0	N/A
Ziff Davis, Inc.	ZD	NasdaqGS	USD	63.01	2,922.0	-5.8	-14.4	31.0	N/A	N/A	5.3	34.9
ZoomInfo Technologies Inc.	ZI	NasdaqGS	USD	17.00	6,825.0	2.8	-61.7	55.0	N/A	N/A	5.5	33.5

*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.
NA-Not Available; NM-Not Meaningful.
Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

Snap Inc.**Analyst Research Notes and other Company News****July 26, 2023**

08:37 AM ET... CFRA Maintains Buy Opinion on Shares of Snap Inc. [SNAP 10.32****]:

We keep our 12-month target price at \$12, on P/S of 3.8x our '24 estimate, below historical to reflect constrained profitability. We reduce our '23 per share estimate to a \$0.04 loss from \$0.01 EPS and '24 to \$0.13 EPS from \$0.27 EPS. SNAP posts Q2 loss per share of \$0.02 vs. \$0.02 loss, beating the \$0.04 loss consensus. Revenue fell 3.9%, as DAUs grew 14% while ARPU fell 16%. Adjusted EBITDA outlook for Q3 was disappointing [\$50M-\$100M loss vs. \$43M forecast], as infrastructure costs to invest in AI are rising much more rapidly than we originally anticipated [+35%-40% rise per DAU in 6 months]. Monetization will be key as investments are geared towards AI camera filters/lenses, interaction with ads, and enhancing content. We like momentum in SpotLight [MAUs +51% to over 400M; total time spent more than tripling] and a 20% increase in active advertisers. Also, engagement remains high and DAUs are growing ahead of peers [+12% seen in Q3], but investors will need to be patient given elevated near-term spend. / Angelo Zino, CFA

April 28, 2023

09:47 AM ET... CFRA Maintains Buy Opinion on Shares of Snap Inc. [SNAP 8.50****]:

We reduce our 12-month target to \$12 from \$15, on P/S of 3.4x our '24 estimate, below historical. We adjust our '23 EPS view to \$0.01 from \$0.25 and '24 to \$0.27 from \$0.50. SNAP posts Q1 EPS of \$0.01 vs. a \$0.02 loss, better than the \$0.02 loss consensus. Revenue fell 7%, missing our view, as DAUs grew 15% [NA +3%, Europe +10%, ROW +27%], while ARPU fell 19% [N.A. -18%, Europe -12%, ROW +6%]. Sales are also being hurt by platform changes to improve measurement solutions, with brand revenue -12% and direct response -9%. We positively view +3M paying subscribers and prior cost cuts aiding bottom line [adj. EBITDA of \$1M and \$103M FCF both beat our view]. While we are disappointed by Q2 headcount/investment increases [Q2 adj. EBITDA of -\$75M, but revenue to grow +5% from Q1], as it places near-term downside to margins, we think it is necessary to fund AI initiatives and should help accelerate future growth. Engagement remains high, DAUs are growing ahead of peers, and balance sheet is healthy [\$3.7B gross cash]. / Angelo Zino, CFA

March 23, 2023

04:17 PM ET... TikTok Potential Outright Sale or Ban Likely Grows After Congressional Hearing [SNAP 11.39****]:

After TikTok CEO Shou Zi Chew met with Congress, we see lawmakers placing more pressure on parent owner ByteDance towards a sale of the U.S. operations or force a ban. We don't think anything said by Mr. Chew alleviated concerns about sensitive TikTok data eventually reaching the Chinese government. The main reason being a Chinese law that cites the government can use inside information from any Chinese company for national security purposes. In addition, members of Congress also highlighted concerns about the impact the content from the platform could have on young people. We come away with the belief that an outright sale or ban is looking increasingly likely in the next 12-18 months. Although a ban has bipartisan support, we still place only about a 35%-40% chance it happens, with '24 being an election year and politicians needing to tread carefully to ban a platform that is extremely popular [+150 million users] with voters (aged 18-45). If a ban is placed, SNAP should be the biggest beneficiary. / Angelo Zino, CFA

March 06, 2023

11:40 AM ET... A Potential TikTok Ban to Positively Impact Select Social Media Providers [SNAP 11.98****]:

Shares of social media companies are up after Democratic Senator Mark Warner said he is introducing a broad bipartisan bill that will prohibit foreign technology (like TikTok). We believe the biggest beneficiaries of a TikTok ban would be SNAP, META, and GOOGLE's YouTube business [in that order]. TikTok's emphasis on short-form videos has increased engagement/time spent by consumers and has upended the entire industry, creating a headwind for META/SNAP. Given TikTok's growing engagement/user growth, it has been taking an increasing portion of the digital ad dollars pie from other social media players. We believe SNAP has been hurt the most given its smaller scale and similar customer base. A potential ban would likely improve engagement for U.S. social media outlets and drive greater ad dollars to those platforms. At a time when social media players are also right-sizing business models through cost cuts, the potential earnings leverage will help drive a greater-than-expected upside to consensus estimates. / Angelo Zino, CFA

February 28, 2023

01:10 PM ET... CFRA Maintains Buy Opinion on Shares of Snap Inc. [SNAP 10.20****]:

Yesterday, SNAP announced that it is launching "My AI," a chatbot running the latest version of OpenAI's GPT technology. It will be available as an additional feature for Snapchat+, which users can subscribe to for \$3.99/month. SNAP cites that My AI can write a haiku, recommend a recipe for dinner or hiking trip, as well as recommend birthday gifts for a friend. Unlike Microsoft's intent with integrating ChatGBT into the Bing search engine, SNAP is utilizing AI as more of a personal assistant. We believe SNAP's announcement is a good move and helps the company get ahead of the curve versus many of its peers as all tech-oriented companies need to devise a plan of action with the emergence of Generative AI or will be left behind. We think the addition of My AI will cater well to SNAP's younger audience and could help further accelerate paying subscribers to the platform, thus helping to diversify SNAP away from ad revenue. SNAP recently cited more than 750M MAUs/375M DAUs, with 2.5M subscribers at \$100M ARR. / Angelo Zino, CFA

February 17, 2023

06:54 AM ET... CFRA Maintains Buy Opinion on Shares of Snap Inc. [SNAP 10.73****]:

SNAP hosted its Analyst Event where it cited more than 750M MAUs and plans to reach 1B MAUs in 2-3 years, reaching more than 75% of 13-to-34 year olds in over 20 countries [regions comprise +50% of ad market]. DAUs now total over 375M growing by +40% [110M] in two years. Although revenue growth has stalled amid a tougher ad landscape, largely on brand advertising weakness, we see better efforts to monetize the platform by expanding the direct response business and advertising in camera/Spotlight. We like the ability to diversify revenue through Snapchat+ [2.5M subscribers at \$100M ARR] and opportunities surrounding Snap Map [focus on Places for new advertisers]. We note leadership in AR, which represents SNAP's biggest long-term growth opportunity [over 250M people engaging with AR on Snapchat daily]. Overall, we find SNAP's installed base to be extremely well-positioned for long-term success and see a much improved cost structure yielding greater operating leverage/FCF growth when growth accelerates again. / Angelo Zino, CFA

February 01, 2023

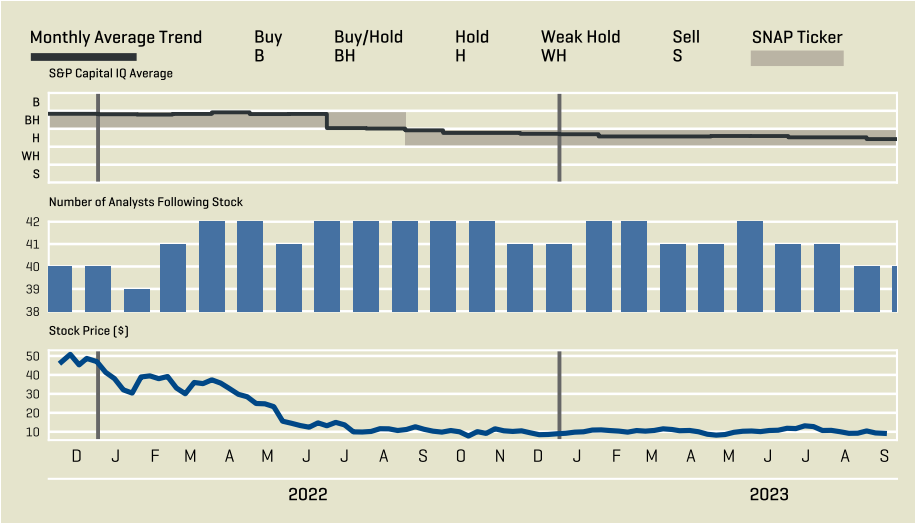
08:58 AM ET... CFRA Maintains Buy Opinion on Shares of Snap Inc. [SNAP 11.56****]:

We keep our 12-month target at \$15, on P/S of 4.5x our '24 estimate, below historical but within our peer universe. We maintain our '23 EPS estimate at \$0.25 and start '24 at \$0.50. SNAP posts Q4 EPS of \$0.14 vs. \$0.22 EPS, better than the \$0.12 EPS consensus. Sales rose 0.1%, as DAUs grew 17% [NA +3%, Europe +12%, ROW +31%] while ARPU fell 15% [NA -9%, Europe -6%, ROW -2%]. Adjusted EBITDA margin was 18% vs. 25%, better than the 16% consensus. Although Q1 guide is tracking below expectations [-7% Y/Y], we believe cost reductions [headcount -20% from peak] will allow SNAP to be adjusted EBITDA breakeven in Q1, with improving profitability thereafter. We are wary about recent monetization struggles and declines in brand-oriented advertising [-11% in Q4], but like direct response growth [+4%] and expect to hear about efforts to accelerate growth/monetize [e.g., AR, Spotlight, subscriptions] at its 2/16 Analyst Event [we forecast revenue trough in Q1]. We note SNAP's healthy balance sheet [\$3.9B cash/\$3.7B debt]. / Angelo Zino, CFA

Note: Research notes reflect CFRA's published opinions and analysis on the stock at the time the note was published. The note reflects the views of the equity analyst as of the date and time indicated in the note, and may not reflect CFRA's current view on the company.

Snap Inc.

Analysts Recommendations



	No. of Recommendations	% of Total	1 Mo.Prior	3 Mos.Prior
Buy	3	8	3	3
Buy/Hold	1	3	1	3
Hold	30	75	30	30
Weak hold	2	5	2	2
Sell	4	10	4	3
No Opinion	0	0	0	0
Total	40	100	40	41

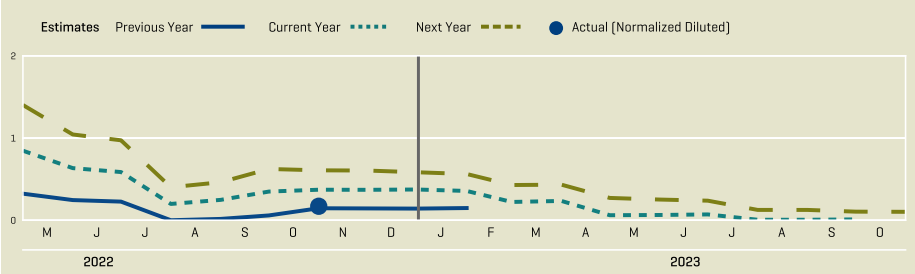
Wall Street Consensus Opinion

Hold

Wall Street Consensus vs. Performance

For fiscal year 2023, analysts estimate that SNAP will earn USD 0.01. For fiscal year 2024, analysts estimate that SNAP's earnings per share will grow by 923.0% to USD 0.10.

Wall Street Consensus Estimates



Fiscal Year	Avg Est.	High Est.	Low Est.	# of Est.	Est. P/E
2024	0.10	0.37	-0.07	20	94.34
2023	0.01	0.09	-0.07	21	966.93
2024 vs. 2023	▲ 925%	▲ 311%	▲ 1%	▼ -5%	▼ -90%
Q3'24	-0.01	0.02	-0.02	7	-1000.00
Q3'23	-0.05	-0.01	-0.24	19	-175.65
Q3'24 vs. Q3'23	▲ 83%	▲ 285%	▲ 92%	▼ -63%	▼ -501%

Forecasts are not reliable indicator of future performance.
Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.
Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.

Snap Inc.

Glossary

STARS

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs [American Depositary Receipts], and ADSs [American Depositary Shares] based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS [Stock Appreciation Ranking System], equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark [e.g., a regional index (MSCI AC Asia Pacific Index, MSCI AC Europe Index or S&P 500® Index)], based on a 12-month time horizon. STARS was designed to help investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

S&P Global Market Intelligence's Quality Ranking

[also known as **S&P Capital IQ Earnings & Dividend Rankings**] - Growth and S&P Capital IQ Earnings & Dividend Rankings stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsule the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

A+ Highest	B Below Average
A High	B- Lower
A Above	C Lowest
B+ Average	D In Reorganization
NC Not Ranked	

EPS Estimates

CFRA's earnings per share (EPS) estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus [average] EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics, including Fair Value.

Abbreviations Used in Equity Research Reports

- CAGR - Compound Annual Growth Rate
- CAPEX - Capital Expenditures
- CY - Calendar Year
- DCF - Discounted Cash Flow
- DDM - Dividend Discount Model
- EBIT - Earnings Before Interest and Taxes
- EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization
- EPS - Earnings Per Share
- EV - Enterprise Value
- FCF - Free Cash Flow
- FFO - Funds From Operations
- FY - Fiscal Year
- P/E - Price/Earnings
- P/NAV - Price to Net Asset Value
- PEG Ratio - P/E-to-Growth Ratio
- PV - Present Value
- R&D - Research & Development
- ROCE - Return on Capital Employed
- ROE Return on Equity
- ROI - Return on Investment
- ROIC - Return on Invested Capital
- ROA - Return on Assets
- SG&A - Selling, General & Administrative Expenses
- SOTP - Sum-of-The-Parts
- WACC - Weighted Average Cost of Capital

Dividends on American Depositary Receipts (ADRs) and American Depositary Shares (ADSs) are net of taxes (paid in the country of origin).

Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

STARS Ranking system and definition:

★★★★★ 5-STARS (Strong Buy):

Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

★★★★★ 4-STARS (Buy):

Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 3-STARS (Hold):

Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months.

★★★★★ 2-STARS (Sell):

Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 1-STAR (Strong Sell):

Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

Relevant benchmarks:

In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the MSCI AC Europe Index and the MSCI AC Asia Pacific Index, respectively.



Snap Inc.

Disclosures

Stocks are ranked in accordance with the following ranking methodologies:

STARS Stock Reports:

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Quantitative Stock Reports:

Quantitative rankings are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five [six] model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative rankings refer to the Glossary section of the report for detailed methodology and the definition of Quantitative rankings.

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STARS Stock Reports:

Global STARS Distribution as of September 30, 2023

Ranking	North America	Europe	Asia	Global
Buy	36.8%	34.5%	41.6%	37.4%
Hold	53.8%	51.2%	50.3%	52.6%
Sell	9.4%	14.3%	8.1%	10.1%
Total	100.0%	100.0%	100.0%	100.0%

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Snap Inc.

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